
BTC / USD

SQUEEZE BREAKOUT

Night Trading | SAST 00:00 - 05:00

66.1% Win Rate | 531 Signals

100% Monthly Consistency

0.60% Max Drawdown

DERIV | 1H TIMEFRAME | NO INDICATORS | PURE PRICE ACTION

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1. Strategy Overview

The Squeeze Breakout strategy is one of the most reliable ultra-simple price action patterns for BTC/USD trading. It works by identifying moments when the market compresses into a tight range, indicated by candles with very small bodies relative to their total range. These periods of low activity are almost always followed by a decisive move in one direction, and by entering in the direction of the breakout candle, you capture that momentum with a high probability of success. This pattern is especially powerful during low-liquidity hours when institutional money is absent, because the few participants who are active tend to create these compression patterns that resolve cleanly without interference.

The core concept is simple: when 3 consecutive candles all have small bodies (body less than 35% of the candle range), the market is compressing energy. The very next candle that closes in a clear direction is your signal. You buy if that candle closed higher than it opened, or sell if it closed lower. There are no indicators, no moving averages, no oscillators. Just raw price action. This strategy was discovered by backtesting over 8,700 hourly candles of real BTC/USD data from Deriv's public API, spanning from June 2025 to June 2026, with cross-validation on 30-minute and 4-hour timeframes confirming the pattern holds across multiple time horizons.

2. The Rules (Ultra Simple)

This strategy has only three rules. No thinking, no analysis, no decision-making. If the setup appears, you take the trade. If it does not appear, you wait. There is no room for interpretation or emotional bias. The rules are binary: either all three conditions are met, or they are not. This is what makes the strategy so effective for daily routine trading. You can check your chart once per candle, and in less than 10 seconds you know whether there is a trade or not. There is no need to stare at charts all day or monitor multiple timeframes simultaneously.

Step-by-Step Setup Identification

Step 1: Look at the last 3 closed candles on your 1-hour chart (BTC/USD). For each candle, calculate the body size (the distance between the open and close prices) and the total range (the distance between the high and low prices). Divide the body by the range to get the body ratio. If all 3 candles have a body ratio below 0.35 (meaning the body is less than 35% of the total candle range), the squeeze condition is met. Candles that meet this condition look like they have very long wicks (shadows) and tiny real bodies. They

are often called doji-like or indecision candles, and when 3 of them appear in a row, it signals strong market compression.

Step 2: Wait for the next candle (the 4th candle) to close. This is your signal candle. Check its direction: if the close price is higher than the open price, this is a BULLISH signal (you will BUY). If the close price is lower than the open price, this is a BEARISH signal (you will SELL). The direction of this candle tells you which way the compressed energy is releasing, and that is the direction you trade.

Step 3: Enter the trade immediately when the next candle opens (the 5th candle after the squeeze). Set your Take Profit at 0.20% above your entry (for a BUY) or 0.20% below (for a SELL). Set your Stop Loss at 0.15% below your entry (for a BUY) or 0.15% above (for a SELL). This gives you a 1.33:1 reward-to-risk ratio. Walk away and let the trade play out. Do not move your stops or targets. The trade will typically resolve within 1-6 candles.

Quick Reference Card

Timeframe	1-Hour (1H) candles
Asset	BTC/USD on Deriv
Condition	3 consecutive candles with body/range ratio < 0.35
Signal	Next candle closes bullish = BUY, bearish = SELL
Entry	Open of the candle immediately after the signal candle
Take Profit	0.20% from entry price
Stop Loss	0.15% from entry price
Risk:Reward	1:1.33 (favourable)
Max Hold	6 candles (6 hours)

3. Backtest Performance

The following results are from backtesting the Squeeze Breakout strategy exclusively during the night session (SAST 00:00 to 05:00, which is UTC 22:00 to 03:00). This 5-hour window was specifically chosen because institutional market participants in Europe and North America are largely inactive during these hours, creating a lower-liquidity environment where clean price patterns like the squeeze are more likely to resolve predictably. The backtest covers 1,825 night-session hourly candles over approximately 12 months of historical data, producing 531 trade signals with statistically significant results. Walk-forward validation confirms the strategy remained profitable in both the first and second halves of the test period.

Total Signals

531

Win Rate	66.1%
Profit Factor	2.60x
Weekly Consistency	85.2% of weeks profitable
Monthly Consistency	100% of months profitable
Walk-Forward: 1st Half / 2nd Half	63.0% / 69.2%
Max Consecutive Wins / Losses	17 wins / 4 losses
Max Drawdown	0.60%

Monthly Breakdown (Night Session)

Month	Signals	Wins	Win Rate
Jun 2025	13	8	61.5%
Jul 2025	42	25	59.5%
Aug 2025	21	17	81.0%
Sep 2025	48	32	66.7%
Oct 2025	36	22	61.1%
Nov 2025	48	31	64.6%
Dec 2025	59	33	55.9%
Jan 2026	57	39	68.4%
Feb 2026	44	29	65.9%
Mar 2026	45	31	68.9%
Apr 2026	37	28	75.7%
May 2026	41	28	68.3%
Jun 2026	40	28	70.0%

Performance by Day of Week (Night Session)

Day	Signals	Wins	Win Rate
Monday	68	45	66.2%
Tuesday	63	45	71.4%
Wednesday	74	44	59.5%
Thursday	80	53	66.2%
Friday	80	51	63.7%

Day	Signals	Wins	Win Rate
Saturday	69	44	63.8%
Sunday	97	69	71.1%

Performance by Hour (SAST, Night Session)

Hour (SAST)	Signals	Wins	Win Rate
00:00	88	58	65.9%
01:00	115	78	67.8%
02:00	109	72	66.1%
03:00	116	88	75.9%
04:00	103	55	53.4%

The best hour to trade this strategy during the night session is 03:00 SAST, which shows a remarkable 75.9% win rate across 116 signals. The 04:00 hour is the weakest at 53.4%, which makes intuitive sense as this hour approaches the start of the European session when institutional activity begins to pick up and pattern reliability decreases. For maximum accuracy, consider focusing on the 00:00 to 03:00 window.

4. Risk Management

Even with a 66%+ win rate, risk management is essential for long-term success. The 0.15% stop loss means that on a \$10,000 account, each trade risks approximately \$15. With 531 night signals over 12 months, that averages roughly 1-2 trades per night. The maximum observed drawdown was only 0.60%, which means the strategy has never come close to wiping out even a small fraction of your account. The key risk management rules for this strategy are straightforward and designed to protect your capital while allowing the edge to compound over time.

- Never risk more than 1-2% of your account on any single trade.
- Always use the exact 0.20% Take Profit and 0.15% Stop Loss levels specified.
- Do not move your stop loss once the trade is open. Let the trade play out as designed.
- If you miss a signal (you were not at the chart), skip it. Do not chase the trade.
- Do not take more than 3 trades per night session. Quality over quantity.
- If you hit 3 consecutive losses, stop trading for the remainder of that session.
- Trade the same position size for every trade. No doubling down or martingale.

5. Your Daily Routine

The night session routine is designed for South African traders who want to trade during quiet hours. Here is exactly what you do each night, step by step. The entire process takes less than 2 minutes per check, and you only need to check once per hour. This is not a strategy that requires you to sit in front of charts for hours. It is a set-and-forget approach that fits around any lifestyle.

- 22:30 SAST: Open your BTC/USD 1-hour chart on Deriv.
- 23:00 SAST: Check if the last 3 candles have small bodies (body < 35% of range).
- 00:00 SAST: If squeeze is detected, note the signal candle direction at candle close.
- 01:00 SAST: Enter trade at the open if signal was given. Set TP 0.20% and SL 0.15%.
- 02:00-05:00 SAST: Check once per hour if trade hit TP or SL. No action needed otherwise.
- 05:00 SAST: Session ends. Any open trades should have resolved within 6 hours max.

6. Why This Strategy Works

The Squeeze Breakout works because of a fundamental market dynamic: when price consolidates into a tight range with indecision candles (small bodies, long wicks), the market is building energy like a compressed spring. The longer and tighter the compression, the more explosive the eventual release. By waiting for 3 consecutive compression candles, you are ensuring that the market has genuinely settled into a low-volatility state rather than just having a single anomalous candle. When the breakout finally occurs, you ride the initial momentum wave before the market has time to establish a new equilibrium. The 0.20% take profit is deliberately small enough to be hit frequently, while the 0.15% stop loss provides a favourable risk-reward ratio. This combination of a high-probability entry pattern with tight risk management is what produces the consistent 66%+ win rate observed across 12 months of historical data.

During the night session specifically (SAST 00:00-05:00), the strategy benefits from the absence of institutional order flow. Major banks, hedge funds, and algorithmic trading systems in Europe and North America are inactive during these hours. This means the market is driven by a smaller pool of participants, and price patterns tend to be cleaner and more predictable. Squeezes that form during these quiet hours are less likely to be disrupted by sudden institutional orders, which explains why the breakout direction is so reliable as a signal for the next move.